COD and RTO playbook: cut returns without killing COD

Shipway's FY25 data shows 26% of cash-on-delivery orders in India return to origin, against under 2% of prepaid orders. Switching COD off everywhere loses good customers. Fix it where it hurts.

What one RTO costs: forward shipping, return shipping, packaging, the ad spend that won the order, and sometimes damaged stock. The RTO Finder adds these up per state and pin code.

1. Measure

- [ ] Export the last 90 days of shipped orders with pin code, state, payment method and final status
- [ ] Run the Marginwise RTO Finder to rank states and pin codes by RTO rate and cost
- [ ] Only act on areas with enough orders to trust the rate (the sheet flags small samples)

2. Prevent at checkout

- [ ] Offer a reason to prepay: a small discount, a free gift or faster dispatch
- [ ] Validate addresses and pin codes before the order is placed
- [ ] Show a clear delivery date so buyers know when to expect it
- [ ] Consider a small advance (partial COD) for high-RTO pin codes

3. Confirm before dispatch

- [ ] Confirm COD orders by WhatsApp or automated call; hold unconfirmed orders
- [ ] Flag repeat refusers and suspicious orders (incomplete address, many units, new pin code)

4. Recover in transit

- [ ] Act on failed-delivery (NDR) alerts within 24 hours: call or message the buyer and request a reattempt

5. Decide per area

- [ ] Restrict COD or require confirmation only in the pin codes the RTO Finder flags
- [ ] Re-check the numbers every month; RTO patterns change with seasons and sales

Want us to read your RTO data?

Comment **RTO** for the RTO Finder sheet, or book a free 30-minute call at **marginwise.in**.

Source: Shipway ShipNotes FY25, via MediaBrief (26% RTO on COD orders; under 2% on prepaid).